

Capital Structure & Financial Analysis

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Financial Analysis Report

Microsoft Excel | Financial Modeling | Data Analysis

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COMPANY PROFILE

Corporate Information

Pfizer Inc. is represented using the ticker symbol PFE. This company is traded on the New York Stock Exchange, which is located on Wall Street in the Financial District of Lower Manhattan. The industry in which it operates is drug manufacturing, and its sector is healthcare. They primarily develop, manufacture, and distribute biopharmaceutical products, such as medicines and vaccines, within the United States and internationally. Other companies in this industry with which they are competing are Johnson & Johnson (JNJ), Eli Lilly and Company (LLY), and Amgen Inc. (AMGN).

Pfizer Inc. has a large international presence and a strong reputation. In 2023, Pfizer medicines and vaccines treated “approximately 618 million people in 180+ countries” (Pfizer Inc. 2025). They are most widely known for manufacturing a vaccination for COVID-19, a virus that led to a pandemic in the year 2020. Pfizer Inc. developed the vaccine in December 2020, which was the first approved by the U.S. Food and Drug Administration (FDA). After it was approved, they shipped billions of COVID-19 vaccines to countries worldwide, preventing the further spread of the disease and saving millions of lives. Some other products that they are famous for are Prevnar, Celebrex, and Chantix.

Pfizer Inc.’s biotech products have significantly changed the world of healthcare, treating numerous conditions, including heart disease, diabetes, and cancer. Their products have made breakthroughs in the biotech industry, boosting their reputation and sales internationally. In fact, international markets accounted for approximately 45% of Pfizer's revenues during 2023, which demonstrates the importance of its global presence (Pfizer Inc. 2025). Even though the United States is currently their largest individual market, their strong global network of distribution and partnerships has enabled them to treat patients globally, again solidifying themselves as a healthcare company of the world.

Stock Information

Company Name: Pfizer Inc.
Ticker-Symbol: PFE
Sector: Healthcare
Industry: Drug Manufacturers
Traded on: New York Stock Exchange (NYSE)

Contact Information

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New York, NY 10001-2192
United States
Phone: +1 (800) 879-3477
Website: <https://www.pfizer.com>



FINANCIAL RATIO ANALYSIS

Years 2024 & 2020

Activity Ratios

Inventory Turnover

2024	2020
1.70	1.15

Inventory turnover measures how many times inventory is turned over during the year. The ratio increased, meaning Pfizer is selling and replenishing inventory more frequently, which is good.

This indicates stronger demand or better inventory management, reducing the risk of obsolete stock.

Days of Inventory on Hand

2024	2020
215.10	317.34

DOH measures how long a company takes to sell its average inventory. The ratio decreased, meaning Pfizer is converting inventory into sales faster. This is good because a lower DOH indicates stronger demand, better inventory control, and reduced holding costs.

Receivables Turnover

2024	2020
5.53	5.70

Receivables turnover measures how efficiently a company collects cash from credit sales, with a higher ratio indicating faster collection. The ratio decreased, meaning Pfizer is taking longer to collect payments from customers. This is bad because a lower ratio indicates weaker credit management or potential issues with customer liquidity.

Days of Sales Outstanding

2024	2020
66.05	64.02

DSO measures the average length of time the firm must wait after making a sale before it receives cash. The ratio increased, meaning Pfizer is taking longer to convert sales into cash. This is bad because a higher DSO indicates slower collections, potential credit risks, or less efficient working capital management.

Payables Turnover

2024	2020
2.89	2.12

Payables turnover measures how quickly a company pays its suppliers, with a higher ratio indicating faster payments. The ratio increased, meaning Pfizer is settling its payables faster. This indicates a stronger cash flow or stricter supplier terms.

Number of Days of Payables

2024	2020
126.19	172.09

DPO measures how long a company takes to pay its suppliers, with a higher number indicating longer payment terms. The ratio decreased, meaning Pfizer is paying its suppliers faster. This indicates improved supplier relationships or stronger cash flow.

Working Capital Turnover

2024	2020
43.85	18.04

Working capital turnover measures how efficiently a company uses its working capital to generate revenue. The ratio significantly increased, meaning Pfizer is generating more revenue per dollar of working capital. This indicates greater efficiency in managing short-term assets and liabilities.

Fixed Asset Turnover

2024	2020
3.41	3.12

Fixed asset turnover measures how effectively a company generates sales from its fixed assets.

The ratio increased, meaning Pfizer is generating more revenue per dollar invested in fixed assets. This is good because it indicates better utilization of its long-term assets, which leads to enhanced operational efficiency.

Total Asset Turnover

2024	2020
0.29	0.26

Total asset turnover measures the company's ability to generate sales from all its assets, with a

higher ratio indicating better overall asset utilization. The ratio increased, meaning Pfizer is generating more revenue per dollar of total assets. This indicates an improvement in operational efficiency.

Liquidity Ratios

Current Ratio

2024	2020
1.17	1.35

Current ratio measures the extent to which current liabilities are covered by those assets expected to be converted to cash in the near future. The ratio decreased, meaning Pfizer has less cushion to meet its near-term obligations. This is bad because it indicates tighter working capital management, increased debt, or reduced cash reserves.

Quick Ratio

2024	2020
0.743	0.777

Quick ratio measures the firm's ability to pay off short-term obligations without relying on the sale of inventories. The ratio decreased, meaning Pfizer has fewer liquid assets relative to short-term liabilities. This is bad because it indicates reduced financial flexibility.

Cash Ratio

2024	2020
0.476	0.471

Cash ratio measures a company's ability to cover short-term liabilities with only cash and cash equivalents. The ratio increased, meaning Pfizer holds slightly more cash relative to its immediate obligations. This is good because it indicates stable liquidity management.

Cash Conversion Cycle

2024	2020
154.97	209.28

CCC measures the length of time between paying for working capital and collecting cash from the sale of the working capital. The ratio decreased, meaning Pfizer is converting its investments into cash faster. This is good because it indicates better efficiency in managing inventory, receivables, and payables.

Solvency Ratios

Debt Ratios

Debt-to-Assets Ratio

2024	2020
0.585	0.588

The debt-to-assets ratio measures the proportion of a company's assets financed by debt. The ratio decreased, meaning Pfizer has reduced its reliance on debt to fund its assets. This is good because it indicates a marginally stronger balance sheet and lower financial risk.

Debt-to-Capital Ratio

2024	2020
0.586	0.589

The debt-to-capital ratio measures the proportion of a company's capital structure financed by debt. The ratio decreased, meaning Pfizer reduced its dependence on debt funding relative to total capital. This is good because it indicates Pfizer is shifting toward a less leveraged position.

Debt-to-Equity Ratio

2024	2020
1.416	1.435

The debt-to-equity ratio measures a company's financial leverage by comparing total debt to shareholders' equity. The ratio decreased, meaning Pfizer's reliance on debt compared to equity has reduced. This is good because it indicates a decrease in financial risk, as the company is using slightly less debt to finance its operations.

Financial Leverage Ratio

2024	2020
2.474	2.536

The financial leverage ratio measures the proportion of a company's assets financed by debt. The ratio decreased, meaning Pfizer is using slightly less debt to finance its assets. This is good because it indicates a reduction in financial risk, as the company is relying less on leverage.

Coverage Ratios

Interest Coverage Ratio

2024	2020
2.596	5.174

The interest coverage ratio measures a company's ability to cover interest expenses with its earnings before interest and taxes. The ratio decreased, meaning Pfizer is less capable of covering its interest expenses. This is bad because it indicates increased financial risk.

Fixed Charge Coverage Ratio

2024	2020
1.784	2.972

The Fixed Charge Coverage Ratio measures a company's ability to cover fixed expenses, such as interest and lease payments, with its earnings before interest and taxes. The ratio decreased, meaning Pfizer is now less capable of covering its fixed charges. This is bad because it indicates more financial strain.

Profitability Ratios

Return on Sales

Gross Profit Margin

2024	2020
0.719	0.793

Gross profit margin measures the percentage of revenue that exceeds the cost of goods sold, indicating how efficiently a company produces its goods. The ratio decreased, meaning Pfizer is retaining less profit from its revenue. This indicates rising production costs or lower pricing power, which is bad for financial performance.

Operating Profit Margin

2024	2020
0.126	0.179

Operating profit margin measures the percentage of revenue remaining after covering operating expenses. The ratio decreased, meaning Pfizer is retaining less profit from its operations. This indicates increased operating costs and lower revenue, which is bad for financial performance.

Pretax Margin

2024	2020
0.126	0.179

Pretax margin measures the percentage of revenue remaining after all expenses except taxes, reflecting profitability before tax obligations. The ratio decreased, meaning Pfizer is earning less profit before taxes on each dollar of revenue. This indicates higher operating costs, increased interest expenses, or lower revenue, which is bad for financial performance.

Net Profit Margin

2024	2020
0.126	0.229

Net profit margin measures net income per dollar of sales. The ratio decreased, meaning Pfizer is retaining less profit from its revenue. This indicates higher costs, increased tax burdens, or lower revenue, which is bad for financial performance.

Return on Investment

Operating ROA

2024	2020
0.0365	0.0466

Operating ROA measures how efficiently a company uses its assets to generate operating income. The ratio decreased, meaning Pfizer is generating less operating profit per dollar of assets. This indicates less operational efficiency.

ROA

2024	2020
0.0365	0.0598

ROA measures the rate of return on the company's assets. The ratio decreased, meaning Pfizer is earning less net income per dollar of assets. This indicates lower profitability or increased assets that are not generating as much income.

Return on Total Capital

2024	2020
0.0425	0.0593

Return on total capital measures how effectively a company uses its total capital to generate profit. The ratio decreased, meaning Pfizer is earning less profit for every dollar of total capital. This is bad because it indicates lower efficiency in utilizing its capital.

ROE

2024	2020
9.03%	15.15%

ROE measures how effectively a company uses shareholders' equity to generate net income. The ratio decreased, meaning Pfizer is generating less profit for every dollar of equity. This is bad because it indicates less profitability.

Return on Common Equity

2024	2020
0.0903	0.1515

Return on common equity measures how effectively a company generates profit for shareholders from their equity investment. The ratio decreased, meaning Pfizer is generating less profit for every dollar of common equity. This is bad because it indicates lower profitability.

Valuation Ratios

P/E

2024	2020
\$19.40	\$21.85

Price-to-earnings ratio measures how much investors are willing to pay for each dollar of reported earnings. The ratio decreased, meaning the market is valuing Pfizer's earnings less highly. This is bad because it indicates lower investor confidence.

P/CF

2024	2020
\$12.11	\$14.71

The price-to-cash flow ratio measures the price investors are willing to pay for each dollar of cash flow, indicating how the market values a company's cash generation ability. The ratio decreased, meaning investors are paying less for Pfizer's cash flow. This indicates that investors might have lower expectations for future cash flow growth or perceive increased risk.

P/S

2024	2020
\$2.44	\$4.96

Price-to-sales ratio measures the price investors are willing to pay for each dollar of a company's sales, reflecting market expectations of future revenue growth. The ratio decreased, meaning investors are valuing Pfizer's sales less highly. This indicates that investors might have lower expectations for future revenue growth or are factoring in higher risks.

P/BV

2024	2020
\$1.75	\$3.28

The price-to-book value ratio measures the price investors are willing to pay for each dollar of a company's book value, reflecting market perceptions of its asset value. The ratio decreased, meaning investors are valuing Pfizer's assets less. This indicates lower investor confidence in Pfizer's asset base or future profitability.

Per-Share Quantities

Basic EPS

2024	2020
\$1.42	\$1.73

Basic EPS measures available to common stockholders are divided by the weighted average number of shares outstanding during the period. The ratio decreased, meaning Pfizer's earnings per share have declined. This is bad because it indicates lower profitability or a decrease in net income.

Diluted EPS

2024	2020
\$0.71	\$0.62

Diluted EPS measures the profit available to common shareholders per share, considering potential dilution from stock options or convertible securities. The ratio increased, meaning Pfizer's diluted earnings per share improved. This is good because it indicates that Pfizer has become more profitable.

Cash Flow Per Share

2024	2020
\$2.26	\$2.54

CFPS measures the amount of cash flow a company generates per share of stock. The ratio decreased, meaning Pfizer is generating less cash flow per share. This is bad because it indicates a reduction in Pfizer's ability to generate cash.

EPITDA Per Share

2024	2020
\$2.67	\$2.17

EBITDA per share measures the earnings before interest, taxes, depreciation, and amortization generated per share of stock. The ratio increased, meaning Pfizer's EBITDA per share has improved. This is good because it indicates higher operational profitability or more efficient cost management.

Dividends Per Share

2024	2020
\$1.68	\$1.52

Dividends Per Share measure the amount of cash paid to shareholders for each share owned. The ratio increased, meaning Pfizer is paying a higher dividend per share. This is good because it indicates improved profitability or a stronger cash flow position.

Dividend-Related Quantities

Dividend Payout Ratio

2024	2020
\$1.18	\$0.88

The dividend payout ratio measures the proportion of earnings paid out as dividends to shareholders. The ratio increased, meaning Pfizer is paying a higher percentage of its earnings as dividends. This indicates Pfizer is distributing more of its profits to shareholders.

Retention Rate (b)

2024	2020
-0.18	0.12

Retention Rate measures the proportion of earnings retained in the company rather than paid out as dividends. The ratio decreased, with a negative value in 2024, meaning Pfizer is retaining fewer earnings. This indicates Pfizer is either paying out more than its earnings or facing losses.

Sustainable Growth Rate

2024	2020
-0.017	0.019

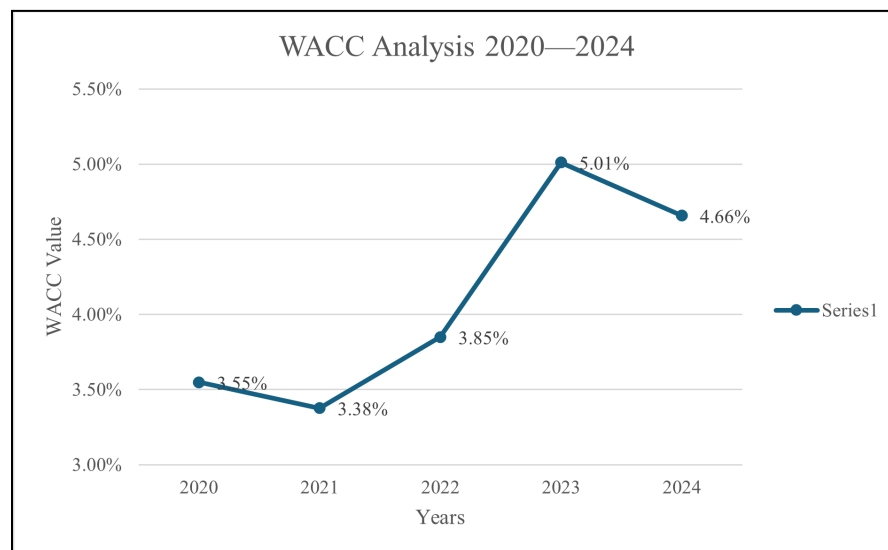
Sustainable Growth Rate measures the maximum achievable growth rate without the firm having to raise external funds. The ratio decreased, which indicates that Pfizer's ability to grow using internally generated equity declined. This suggests that the company might be having reduced profitability or higher dividend payouts.

WACC ANALYSIS

Weighted Average Cost of Capital

This is a weighted average of the individual capital components. It is a long-term hurdle rate calculated as a percentage. The WACC is defined as how much it would incur for a business to raise capital based on its capital structure. The hurdle rate is a benchmark of the minimum required return a firm would need to invest in a project. A lower WACC is usually accepted because it allows the business to make more attractive projects, increasing the firm's value, and the cash flow is less risky. In order to calculate the WACC of a firm, you would need to locate certain factors on the 10-K annual report of the company and insert the factors into the following equation:

$$(\text{Weight of Debt} \times \text{Cost of Debt}) \times (1 - \text{Tax Rate}) + (\text{Weight of Preferred Stock} \times \text{Cost of Preferred Stock}) + (\text{Weight of Equity} \times \text{Cost of Equity})$$



Year	WACC
2020	3.55%
2021	3.38%
2022	3.85%
2023	5.01%
2024	4.66%

As seen from the above graph and table, Pfizer's weighted average cost of capital (WACC) has fluctuated throughout the last 5 years. The slight 0.17% drop from 2020 to 2021 could indicate increased confidence of investors and high revenue growth from the initial success of the COVID-19 vaccine, which reduced the perceived risk and cost of capital. The dramatic increase from 2021 to 2023 might indicate rising uncertainty in Pfizer's future cash flows due to declining demand for COVID-19 products. It could also indicate an increase in debt from mergers like Seagen, which led to an increased cost of equity and debt. Lastly, the 0.35% decrease from 2023 to 2024 could indicate reduced sales in the period as a result of a decline in the distribution of COVID-19 vaccines. However, the WACC remains higher than it was 5 years ago due to their other pharmaceutical advances and strategic investments, such as in oncology and AI, since these require greater capital expenditures and pay higher risk premiums from investors.

MANAGEMENT, DISCUSSION, & ANALYSIS

Year Ending 12/31/2020

In 2020, Pfizer became a more focused biopharmaceutical company with revenues increasing by 2% to \$41.9 billion, driven by strong growth in key products like Vyndaqel and Eliquis, despite incurring costs of \$700 million due to separating from Upjohn. The company emphasized its strong research and development process and strategic investments in COVID-19 vaccine development, including collaborating with BioNTech for BNT162b2, which contributed significantly to its revenue outlook. This year, there were also cost-restructuring efforts to align with its streamlined operations while also addressing challenges such as patent expirations and regulatory pressures. The managerial view is optimistic despite their costs from the pandemic. The management's tone reflects confidence in the company's pipeline and ability to navigate

industry headwinds, with a positive outlook for the future with their ongoing development of a COVID-19 vaccine. This optimism aligns with my WACC analysis, supporting the company's strategic investments and growth initiatives. Overall, Pfizer has positioned itself for future success despite the uncertainties posed by the pandemic.

Year Ending 12/31/2021

In 2021, Pfizer continued to focus on innovative medicines and vaccines. The company focused on the operating segments, Biopharma and PC1, and saw strong growth, thanks to its COVID-19 vaccine, Comirnaty, which brought in \$32 billion in sales. Pfizer also developed Paxlovid, an oral COVID-19 treatment, forecasting \$22 billion in 2022 revenue. The managerial view is optimistic, highlighting new deals such as acquiring Arena Pharmaceuticals and a strong drug pipeline. This confidence matches my WACC analysis, which shows a stable cost of debt and equity from last year. Overall, 2021 was an amazing year for Pfizer, with COVID-19 products driving success and setting the company up for future growth.

Year Ending 12/31/2022

In 2022, Pfizer had revenues increasing by 23% to \$100.3 billion, mainly due to even more sales of its COVID-19 products. Even without these COVID-19 products, sales still grew 2% thanks to strong performers like Prevnar, Eliquis, and newly acquired drugs. The company continued streamlining its business after spinning off non-core divisions while investing heavily in research for new medicines. The managerial view is optimistic, sounding very positive about the future, especially with their strong drug pipeline. This matches my WACC analysis showing

stable financing costs. Overall, 2022 was a great year for Pfizer that positioned the company well for continued growth.

Year Ending 12/31/2023

In 2023, Pfizer faced challenges as revenue dropped 42% to \$58.5 billion, mainly because demand for its products decreased, including a 3.5 billion reversal for unused Paxlovid doses. However, excluding COVID-19 products, sales grew 7%, driven by newer drugs like Nurtec and Abrysvo, along with steady performers like Eliquis. The company made strategic moves to refocus, including acquiring Seagen Inc. to boost its cancer drug pipeline and cutting costs to match lower revenue expectations. Even though the company faced a downfall this year, the management's view is still optimistic, emphasizing long-term growth in oncology and cost-saving plans. However, the rise in the WACC percentage suggests investors see more risk ahead. Overall, 2023 was a tough transition year for Pfizer after its COVID-19 boom, but the company is betting on new drugs and restructuring to recover.

Year Ending 12/31/2024

In 2024, Pfizer showed signs of recovery, with revenues growing 7% to \$63.6 billion, led by stronger sales of Paxlovid, cancer drugs from the Seagen acquisition, and steady performers like Eliquis and Vyndaqel. The company made major organizational changes, combining its R&D teams and focusing on cost-cutting programs to improve efficiency while investing in artificial intelligence and new technologies. The managerial view is optimistic, emphasizing improved productivity and commercial execution after a difficult last year. This confidence aligns with the lower WACC (down 0.56%), which suggests investors view Pfizer as less risky

now. Overall, 2024 was a good comeback year for Pfizer as it moved past its COVID-19 slump and began delivering on its long-term growth strategy.

Mergers, Acquisitions, and Divestitures

Over the last 10 years, Pfizer Inc. has completed acquisitions of 16 different companies, averaging around 1-2 acquisitions per year. These acquisitions are over 6 countries, with most of them being in the United States and the United Kingdom (Tracxn, 2025). Their most recent acquisition was with Seagen Inc. on March 12, 2023, in which Pfizer acquired all outstanding common stock of Seagen for \$229 in cash per share, for a total enterprise value of approximately \$43 billion. Pfizer has also had a few divestitures within the last 10 years. One of which was divesting in a 7% stake in Haleon Inc. through a share offering due to challenges and opportunities faced by the company (Simply Wall St, 2025). The company also divested its stake in GSK's consumer health business so that it could focus on pharmaceuticals and vaccines. Pfizer has had no true mergers within the last 10 years (Iskowitz, 2022). They almost had one with Allergan Inc. in 2016, but it was terminated due to the U.S. Department of Treasury announcing on April 4th an “Adverse Tax Law Change,” which prevented tax inversion from mega mergers like the merger agreement that Pfizer-Allergan was supposed to have. Pfizer likely decides to do acquisitions rather than mergers because it is more efficient to acquire a company’s assets without having to share control, which is harder in a merger of equals.

ESG Initiatives

Pfizer’s environmental initiatives emphasize the importance of climate change sustainability as a healthcare business. They are committed to reducing their environmental impact by cutting greenhouse gas emissions and transitioning to renewable energy. The company

aims to achieve a 95% reduction in its own emissions and a 90% reduction in its supply chain emissions by 2040, approved by the “Science Based Targets Initiative.” Pfizer is investing in renewable energy projects, such as solar power agreements, and plans to source 100% renewable electricity by 2030. It also focuses on sustainable medicine practices, such as reducing waste and water usage and improving wastewater management to limit pharmaceutical pollution. Pfizer also supports biodiversity projects and has replaced single-use packaging with reusable containers to minimize landfill waste.

Pfizer’s social initiatives emphasize evolving in global health through new innovations and raising its human capital. They invest in breakthrough treatments, faster development processes, and partnerships to reach underserved communities worldwide. Programs like “An Accord for a Healthier World” and the Pfizer Foundation help support affordable medicine, stronger healthcare systems, and health equity in low-income regions. Pfizer also uses digital tools, patient support programs, and flexible pricing to make healthcare more accessible. They aim to treat millions of people and to build a stronger, more inclusive healthcare system.

Pfizer’s governance initiatives focus on ethical decision-making, transparency, and accountability. Their Board of Directors oversees clear policies like the Code of Conduct and anti-bribery rules. The company trains employees regularly, encourages a speak-up culture, and protects whistleblowers. Pfizer also monitors risks and compliance closely through audits, investigations, and third-party evaluations.

Appendix

Financial Statements

Years Ending 2024 & 2023

Consolidated Statements of Operations Pfizer Inc. and Subsidiary Companies

(MILLIONS, EXCEPT PER SHARE DATA)	Year Ended December 31,		
	2024	2023	2022
Revenues:			
Product revenues	\$ 53,816	\$ 50,914	\$ 91,793
Alliance revenues	8,388	7,582	8,537
Royalty revenues ^(a)	1,423	1,058	845
Total revenues	63,627	59,553	101,175
Costs and expenses:			
Cost of sales ^{(b), (c)}	17,851	24,954	34,344
Selling, informational and administrative expenses ^(b)	14,730	14,771	13,677
Research and development expenses ^(b)	10,822	10,679	11,428
Acquired in-process research and development expenses	108	194	953
Amortization of intangible assets	5,286	4,733	3,609
Restructuring charges and certain acquisition-related costs	2,419	2,943	1,375
Other (income)/deductions—net	4,388	222	1,062
Income from continuing operations before provision/(benefit) for taxes on income	8,023	1,058	34,729
Provision/(benefit) for taxes on income	(28)	(1,115)	3,328
Income from continuing operations	8,051	2,172	31,401
Discontinued operations—net of tax	11	(15)	6
Net income before allocation to noncontrolling interests	8,062	2,158	31,407
Less: Net income attributable to noncontrolling interests	31	39	35
Net income attributable to Pfizer Inc. common shareholders	<u>\$ 8,031</u>	<u>\$ 2,119</u>	<u>\$ 31,372</u>
Earnings per common share—basic:			
Income from continuing operations attributable to Pfizer Inc. common shareholders	\$ 1.42	\$ 0.38	\$ 5.59
Discontinued operations—net of tax	—	—	—
Net income attributable to Pfizer Inc. common shareholders	<u>\$ 1.42</u>	<u>\$ 0.38</u>	<u>\$ 5.59</u>
Earnings per common share—diluted:			
Income from continuing operations attributable to Pfizer Inc. common shareholders	\$ 1.41	\$ 0.37	\$ 5.47
Discontinued operations—net of tax	—	—	—
Net income attributable to Pfizer Inc. common shareholders	<u>\$ 1.41</u>	<u>\$ 0.37</u>	<u>\$ 5.47</u>
Weighted-average shares—basic	5,664	5,643	5,608
Weighted-average shares—diluted	<u>5,700</u>	<u>5,709</u>	<u>5,733</u>

^(a) See [Note 1A](#).

^(b) Exclusive of amortization of intangible assets.

^(c) See [Note 17A](#).

Consolidated Balance Sheets

Pfizer Inc. and Subsidiary Companies

(MILLIONS, EXCEPT PER SHARE DATA)	As of December 31,	
	2024	2023
Assets		
Cash and cash equivalents	\$ 1,043	\$ 2,853
Short-term investments	19,434	9,837
Trade accounts receivable, net of allowance for doubtful accounts: 2024—\$438; 2023—\$470	11,463	11,566
Inventories	10,851	10,189
Current tax assets	3,314	3,978
Other current assets	4,253	4,911
Total current assets	50,358	43,333
Equity-method investments	217	11,637
Long-term investments	2,010	3,731
Property, plant and equipment, net	18,393	18,940
Identifiable intangible assets, net	55,411	64,900
Goodwill	68,527	67,783
Noncurrent deferred tax assets and other noncurrent tax assets	8,662	3,706
Other noncurrent assets	9,817	12,471
Total assets	\$ 213,396	\$ 226,501
Liabilities and Equity		
Short-term borrowings, including current portion of long-term debt: 2024—\$3,747; 2023—\$2,254	\$ 6,946	\$ 10,350
Trade accounts payable	5,633	6,710
Dividends payable	2,437	2,372
Income taxes payable	2,910	2,349
Accrued compensation and related items	3,838	2,776
Deferred revenues	1,511	2,700
Other current liabilities	19,720	20,537
Total current liabilities	42,995	47,794
Long-term debt	57,405	61,538
Pension and postretirement benefit obligations	2,115	2,167
Noncurrent deferred tax liabilities	2,122	640
Other taxes payable	6,112	8,534
Other noncurrent liabilities	14,150	16,539
Total liabilities	124,899	137,213
Commitments and Contingencies		
Common stock, \$0.05 par value; 12,000 shares authorized; issued: 2024—9,593; 2023—9,562	480	478
Additional paid-in capital	93,603	92,631
Treasury stock, shares at cost: 2024—3,926; 2023—3,916	(114,763)	(114,487)
Retained earnings	116,725	118,353
Accumulated other comprehensive loss	(7,842)	(7,961)
Total Pfizer Inc. shareholders' equity	88,203	89,014
Equity attributable to noncontrolling interests	294	274
Total equity	88,497	89,288
Total liabilities and equity	\$ 213,396	\$ 226,501

Consolidated Statements of Cash Flows

Pfizer Inc. and Subsidiary Companies

(MILLIONS)	Year Ended December 31,		
	2024	2023	2022
Operating Activities			
Net income before allocation to noncontrolling interests	\$ 8,062	\$ 2,158	\$ 31,407
Discontinued operations—net of tax	11	(15)	6
Net income from continuing operations before allocation to noncontrolling interests	8,051	2,172	31,401
Adjustments to reconcile net income from continuing operations before allocation to noncontrolling interests to net cash provided by/(used in) operating activities:			
Depreciation and amortization	7,013	6,290	5,064
Asset write-offs and impairments	4,242	3,408	550
Deferred taxes	(2,102)	(3,442)	(3,764)
Share-based compensation expense	877	525	872
Benefit plan contributions in excess of expense/income	(12)	(787)	(1,158)
Inventory write-offs and related charges associated with COVID-19 products ^(a)	—	6,199	1,183
Other adjustments, net	(2,260)	(3,492)	758
Other changes in assets and liabilities, net of acquisitions and divestitures:			
Trade accounts receivable	(109)	347	261
Inventories ^(a)	(854)	(1,169)	(591)
Other assets	3,380	(663)	(4,506)
Trade accounts payable	(1,023)	(300)	1,191
Other liabilities ^(b)	(3,115)	595	(1,449)
Other tax accounts, net	(1,345)	(982)	(545)
Net cash provided by/(used in) operating activities	12,744	8,700	29,267
Investing Activities			
Purchases of property, plant and equipment	(2,909)	(3,907)	(3,236)
Purchases of short-term investments	(10,133)	(30,974)	(36,384)
Proceeds from redemptions/sales of short-term investments	4,128	39,264	44,821
Net (purchases of)/proceeds from redemptions/sales of short-term investments with original maturities of three months or less	3,136	5,174	(483)
Purchases of long-term investments	(180)	(204)	(1,913)
Proceeds from redemptions/sales of long-term investments	1,570	1,979	641
Proceeds from partial sales of investment in Haleon ^(c)	7,040	—	—
Acquisitions of businesses, net of cash acquired	—	(43,430)	(22,997)
Dividend received from the Consumer Healthcare JV ^(c)	—	—	3,960
Other investing activities, net	2	(179)	(192)
Net cash provided by/(used in) investing activities	2,652	(32,278)	(15,783)
Financing Activities			
Proceeds from short-term borrowings	8,907	4,525	3,891
Payments on short-term borrowings	(11,226)	(3)	(3,887)
Net (payments on)/proceeds from short-term borrowings with original maturities of three months or less	(2,590)	3,161	(222)
Proceeds from issuance of long-term debt	—	30,831	—
Payments on long-term debt	(2,250)	(2,569)	(3,298)
Purchases of common stock	—	—	(2,000)
Cash dividends paid	(9,512)	(9,247)	(8,983)
Other financing activities, net	(469)	(631)	(335)
Net cash provided by/(used in) financing activities	(17,140)	26,066	(14,834)
Effect of exchange-rate changes on cash and cash equivalents and restricted cash and cash equivalents	(66)	(40)	(165)
Net increase/(decrease) in cash and cash equivalents and restricted cash and cash equivalents	(1,810)	2,448	(1,515)
Cash and cash equivalents and restricted cash and cash equivalents, at beginning of period	2,917	468	1,983
Cash and cash equivalents and restricted cash and cash equivalents, at end of period	\$ 1,107	\$ 2,917	\$ 468

Years Ending 2022 & 2021

Consolidated Statements of Income

Pfizer Inc. and Subsidiary Companies

(MILLIONS, EXCEPT PER SHARE DATA)	Year Ended December 31,		
	2022	2021	2020
Revenues	\$ 100,330	\$ 81,288	\$ 41,651
Costs and expenses:			
Cost of sales ^(a)	34,344	30,821	8,484
Selling, informational and administrative expenses ^(a)	13,677	12,703	11,597
Research and development expenses ^(a)	11,428	10,360	8,709
Acquired in-process research and development expenses ^(b)	953	3,469	684
Amortization of intangible assets	3,609	3,700	3,348
Restructuring charges and certain acquisition-related costs	1,375	802	579
Other (income)/deductions—net	217	(4,878)	1,213
Income from continuing operations before provision/(benefit) for taxes on income	34,729	24,311	7,036
Provision/(benefit) for taxes on income	3,328	1,852	370
Income from continuing operations	31,401	22,459	6,666
Discontinued operations—net of tax	6	(434)	2,529
Net income before allocation to noncontrolling interests	31,407	22,025	9,195
Less: Net income attributable to noncontrolling interests	35	45	36
Net income attributable to Pfizer Inc. common shareholders	\$ 31,372	\$ 21,979	\$ 9,159
<u>Earnings per common share—basic:</u>			
Income from continuing operations attributable to Pfizer Inc. common shareholders	\$ 5.59	\$ 4.00	\$ 1.19
Discontinued operations—net of tax	—	(0.08)	0.46
Net income attributable to Pfizer Inc. common shareholders	\$ 5.59	\$ 3.92	\$ 1.65
<u>Earnings per common share—diluted:</u>			
Income from continuing operations attributable to Pfizer Inc. common shareholders	\$ 5.47	\$ 3.93	\$ 1.18
Discontinued operations—net of tax	—	(0.08)	0.45
Net income attributable to Pfizer Inc. common shareholders	\$ 5.47	\$ 3.85	\$ 1.63
Weighted-average shares—basic	5,608	5,601	5,555
Weighted-average shares—diluted	5,733	5,708	5,632

^(a) Exclusive of amortization of intangible assets.

^(b) See [Note 1L](#).

Consolidated Balance Sheets
Pfizer Inc. and Subsidiary Companies

(MILLIONS, EXCEPT PER SHARE DATA)	As of December 31,	
	2022	2021
Assets		
Cash and cash equivalents	\$ 416	\$ 1,944
Short-term investments	22,316	29,125
Trade accounts receivable, less allowance for doubtful accounts: 2022—\$449; 2021—\$492	10,952	11,479
Inventories	8,981	9,059
Current tax assets	3,577	4,266
Other current assets	5,017	3,820
Total current assets	51,259	59,693
Equity-method investments	11,033	16,472
Long-term investments	4,036	5,054
Property, plant and equipment	16,274	14,882
Identifiable intangible assets	43,370	25,146
Goodwill	51,375	49,208
Noncurrent deferred tax assets and other noncurrent tax assets	6,693	3,341
Other noncurrent assets	13,163	7,679
Total assets	\$ 197,205	\$ 181,476
Liabilities and Equity		
Short-term borrowings, including current portion of long-term debt: 2022—\$2,560; 2021—\$1,636	\$ 2,945	\$ 2,241
Trade accounts payable	6,809	5,578
Dividends payable	2,303	2,249
Income taxes payable	1,587	1,266
Accrued compensation and related items	3,407	3,332
Deferred revenues	2,520	3,067
Other current liabilities	22,568	24,939
Total current liabilities	42,138	42,671
Long-term debt	32,884	36,195
Pension and postretirement benefit obligations	2,250	3,724
Noncurrent deferred tax liabilities	1,023	349
Other taxes payable	9,812	11,331
Other noncurrent liabilities	13,180	9,743
Total liabilities	101,288	104,013
Commitments and Contingencies		
Preferred stock, no par value, at stated value; 27 shares authorized; no shares issued or outstanding at December 31, 2022 and December 31, 2021	—	—
Common stock, \$0.05 par value; 12,000 shares authorized; issued: 2022—9,519; 2021—9,471	476	473
Additional paid-in capital	91,802	90,591
Treasury stock, shares at cost: 2022—3,903; 2021—3,851	(113,969)	(111,361)
Retained earnings	125,656	103,394
Accumulated other comprehensive loss	(8,304)	(5,897)
Total Pfizer Inc. shareholders' equity	95,661	77,201
Equity attributable to noncontrolling interests	256	262
Total equity	95,916	77,462
Total liabilities and equity	\$ 197,205	\$ 181,476

Consolidated Statements of Cash Flows

Pfizer Inc. and Subsidiary Companies

(MILLIONS)	Year Ended December 31,		
	2022	2021	2020
Operating Activities			
Net income before allocation to noncontrolling interests	\$ 31,407	\$ 22,025	\$ 9,195
Discontinued operations—net of tax	6	(434)	2,529
Net income from continuing operations before allocation to noncontrolling interests	31,401	22,459	6,666
Adjustments to reconcile net income before allocation to noncontrolling interests to net cash provided by operating activities:			
Depreciation and amortization	5,064	5,191	4,681
Asset write-offs and impairments	550	276	2,049
Deferred taxes from continuing operations	(3,764)	(4,293)	(1,575)
Share-based compensation expense	872	1,182	755
Benefit plan contributions in excess of expense/income	(1,158)	(3,123)	(1,242)
Other adjustments, net	758	(1,573)	(485)
Other changes in assets and liabilities, net of acquisitions and divestitures:			
Trade accounts receivable	261	(3,811)	(1,275)
Inventories	592	(1,125)	(778)
Other assets ^(a)	(4,506)	(1,057)	(137)
Trade accounts payable	1,191	1,242	355
Other liabilities	(1,449)	18,721	2,768
Other tax accounts, net	(545)	(1,166)	(1,240)
Net cash provided by operating activities from continuing operations	29,267	32,922	10,540
Net cash provided by/(used in) operating activities from discontinued operations	—	(343)	3,863
Net cash provided by operating activities	29,267	32,580	14,403
Investing Activities			
Purchases of property, plant and equipment	(3,236)	(2,711)	(2,226)
Purchases of short-term investments	(36,384)	(38,457)	(13,805)
Proceeds from redemptions/sales of short-term investments	44,821	27,447	11,087
Net (purchases of)/proceeds from redemptions/sales of short-term investments with original maturities of three months or less	(483)	(8,088)	920
Purchases of long-term investments	(1,913)	(1,068)	(597)
Proceeds from redemptions/sales of long-term investments	641	649	723
Acquisitions of businesses, net of cash acquired	(22,997)	—	—
Dividend received from the Consumer Healthcare JV ^(b)	3,960	—	—
Other investing activities, net	(192)	(305)	(265)
Net cash provided by/(used in) investing activities from continuing operations	(15,783)	(22,534)	(4,162)
Net cash provided by/(used in) investing activities from discontinued operations	—	(12)	(109)
Net cash provided by/(used in) investing activities	(15,783)	(22,546)	(4,271)
Financing Activities			
Proceeds from short-term borrowings	3,891	—	12,352
Payments on short-term borrowings	(3,887)	—	(22,197)
Net (payments on)/proceeds from short-term borrowings with original maturities of three months or less	(222)	(96)	(4,129)
Proceeds from issuances of long-term debt	—	997	5,222
Payments on long-term debt	(3,298)	(2,004)	(4,003)
Purchases of common stock	(2,000)	—	—
Cash dividends paid	(8,983)	(8,729)	(8,440)
Other financing activities, net	(335)	16	(444)
Net cash provided by/(used in) financing activities from continuing operations	(14,834)	(9,816)	(21,640)
Net cash provided by/(used in) financing activities from discontinued operations	—	—	11,991
Net cash provided by/(used in) financing activities	(14,834)	(9,816)	(9,649)
Effect of exchange-rate changes on cash and cash equivalents and restricted cash and cash equivalents	(165)	(59)	(8)
Net increase/(decrease) in cash and cash equivalents and restricted cash and cash equivalents	(1,515)	159	475
Cash and cash equivalents and restricted cash and cash equivalents, at beginning of period	1,983	1,825	1,350
Cash and cash equivalents and restricted cash and cash equivalents, at end of period	\$ 468	\$ 1,983	\$ 1,825

Years Ending 2021 & 2020

Consolidated Statements of Income

Pfizer Inc. and Subsidiary Companies

(MILLIONS, EXCEPT PER COMMON SHARE DATA)	Year Ended December 31,		
	2021	2020	2019
Revenues	\$ 81,288	\$ 41,651	\$ 40,905
Costs and expenses:			
Cost of sales ^(a)	30,821	8,484	8,054
Selling, informational and administrative expenses ^(a)	12,703	11,597	12,726
Research and development expenses ^(a)	13,829	9,393	8,385
Amortization of intangible assets	3,700	3,348	4,429
Restructuring charges and certain acquisition-related costs	802	579	601
(Gain) on completion of Consumer Healthcare JV transaction	—	(6)	(8,107)
Other (income)/deductions—net	(4,878)	1,219	3,497
Income from continuing operations before provision/(benefit) for taxes on income	24,311	7,036	11,321
Provision/(benefit) for taxes on income	1,852	370	583
Income from continuing operations	22,459	6,666	10,738
Discontinued operations—net of tax	(434)	2,529	5,318
Net income before allocation to noncontrolling interests	22,025	9,195	16,056
Less: Net income attributable to noncontrolling interests	45	36	29
Net income attributable to Pfizer Inc. common shareholders	\$ 21,979	\$ 9,159	\$ 16,026
<u>Earnings per common share—basic:</u>			
Income from continuing operations attributable to Pfizer Inc. common shareholders	\$ 4.00	\$ 1.19	\$ 1.92
Discontinued operations—net of tax	(0.08)	0.46	0.95
Net income attributable to Pfizer Inc. common shareholders	\$ 3.92	\$ 1.65	\$ 2.88
<u>Earnings per common share—diluted:</u>			
Income from continuing operations attributable to Pfizer Inc. common shareholders	\$ 3.93	\$ 1.18	\$ 1.89
Discontinued operations—net of tax	(0.08)	0.45	0.94
Net income attributable to Pfizer Inc. common shareholders	\$ 3.85	\$ 1.63	\$ 2.82
Weighted-average shares—basic	5,601	5,555	5,569
Weighted-average shares—diluted	5,708	5,632	5,675

^(a) Exclusive of amortization of intangible assets, except as disclosed in Note 1M.

Consolidated Balance Sheets

Pfizer Inc. and Subsidiary Companies

(MILLIONS, EXCEPT PER COMMON SHARE DATA)	As of December 31,	
	2021	2020
Assets		
Cash and cash equivalents	\$ 1,944	\$ 1,786
Short-term investments	29,125	10,437
Trade accounts receivable, less allowance for doubtful accounts: 2021—\$492; 2020—\$508	11,479	7,913
Inventories	9,059	8,020
Current tax assets	4,266	3,264
Other current assets	3,820	3,646
Total current assets	59,693	35,067
Equity-method investments	16,472	16,856
Long-term investments	5,054	3,406
Property, plant and equipment	14,882	13,745
Identifiable intangible assets	25,146	28,337
Goodwill	49,208	49,556
Noncurrent deferred tax assets and other noncurrent tax assets	3,341	2,383
Other noncurrent assets	7,679	4,879
Total assets	\$ 181,476	\$ 154,229
Liabilities and Equity		
Short-term borrowings, including current portion of long-term debt: 2021—\$1,636; 2020—\$2,002	\$ 2,241	\$ 2,703
Trade accounts payable	5,578	4,283
Dividends payable	2,249	2,162
Income taxes payable	1,266	1,049
Accrued compensation and related items	3,332	3,049
Deferred revenues	3,067	1,113
Other current liabilities	24,939	11,561
Total current liabilities	42,671	25,920
Long-term debt	36,195	37,133
Pension benefit obligations	3,489	4,766
Postretirement benefit obligations	235	645
Noncurrent deferred tax liabilities	349	4,063
Other taxes payable	11,331	11,560
Other noncurrent liabilities	9,743	6,669
Total liabilities	104,013	90,756
Commitments and Contingencies		
Preferred stock, no par value, at stated value; 27 shares authorized; no shares issued or outstanding at December 31, 2021 and December 31, 2020	—	—
Common stock, \$0.05 par value; 12,000 shares authorized; issued: 2021—9,471; 2020—9,407	473	470
Additional paid-in capital	90,591	88,674
Treasury stock, shares at cost: 2021—3,851; 2020—3,840	(111,361)	(110,988)
Retained earnings	103,394	90,392
Accumulated other comprehensive loss	(5,897)	(5,310)
Total Pfizer Inc. shareholders' equity	77,201	63,238
Equity attributable to noncontrolling interests	262	235
Total equity	77,462	63,473
Total liabilities and equity	\$ 181,476	\$ 154,229

Consolidated Statements of Cash Flows

Pfizer Inc. and Subsidiary Companies

(MILLIONS)	Year Ended December 31,		
	2021	2020	2019
Operating Activities			
Net income before allocation to noncontrolling interests	\$ 22,025	\$ 9,195	\$ 16,056
Discontinued operations—net of tax	(434)	2,529	5,318
Net income from continuing operations before allocation to noncontrolling interests	22,459	6,666	10,738
Adjustments to reconcile net income before allocation to noncontrolling interests to net cash provided by operating activities:			
Depreciation and amortization	5,191	4,681	5,755
Asset write-offs and impairments	276	2,049	2,889
TCJA impact	—	—	(323)
Gain on completion of Consumer Healthcare JV transaction, net of cash conveyed ^(a)	—	(6)	(8,254)
Deferred taxes from continuing operations	(4,293)	(1,575)	561
Share-based compensation expense	1,182	755	687
Benefit plan contributions in excess of expense/income	(3,123)	(1,242)	(55)
Other adjustments, net	(1,573)	(479)	(1,080)
Other changes in assets and liabilities, net of acquisitions and divestitures:			
Trade accounts receivable	(3,811)	(1,275)	(1,124)
Inventories	(1,125)	(778)	(1,071)
Other assets	(1,057)	(137)	847
Trade accounts payable	1,242	355	(341)
Other liabilities	18,721	2,768	861
Other tax accounts, net	(1,166)	(1,240)	(3,074)
Net cash provided by operating activities from continuing operations	32,922	10,540	7,015
Net cash provided by/(used in) operating activities from discontinued operations	(343)	3,863	5,572
Net cash provided by operating activities	32,580	14,403	12,588
Investing Activities			
Purchases of property, plant and equipment	(2,711)	(2,226)	(2,046)
Purchases of short-term investments	(38,457)	(13,805)	(6,835)
Proceeds from redemptions/sales of short-term investments	27,447	11,087	9,183
Net (purchases of)/proceeds from redemptions/sales of short-term investments with original maturities of three months or less	(8,088)	920	6,925
Purchases of long-term investments	(1,068)	(597)	(201)
Proceeds from redemptions/sales of long-term investments	649	723	232
Acquisitions of businesses, net of cash acquired	—	—	(10,861)
Other investing activities, net ^(a)	(305)	(265)	(223)
Net cash provided by/(used in) investing activities from continuing operations	(22,534)	(4,162)	(3,825)
Net cash provided by/(used in) investing activities from discontinued operations	(12)	(109)	(120)
Net cash provided by/(used in) investing activities	(22,546)	(4,271)	(3,945)
Financing Activities			
Proceeds from short-term borrowings	—	12,352	16,455
Principal payments on short-term borrowings	—	(22,197)	(8,378)
Net (payments on)/proceeds from short-term borrowings with original maturities of three months or less	(96)	(4,129)	2,551
Proceeds from issuance of long-term debt	997	5,222	4,942
Principal payments on long-term debt	(2,004)	(4,003)	(6,806)
Purchases of common stock	—	—	(8,865)
Cash dividends paid	(8,729)	(8,440)	(8,043)
Other financing activities, net	16	(444)	(342)
Net cash provided by/(used in) financing activities from continuing operations	(9,816)	(21,640)	(8,485)
Net cash provided by/(used in) financing activities from discontinued operations	—	11,991	—
Net cash provided by/(used in) financing activities	(9,816)	(9,649)	(8,485)
Effect of exchange-rate changes on cash and cash equivalents and restricted cash and cash equivalents	(59)	(8)	(32)
Net increase/(decrease) in cash and cash equivalents and restricted cash and cash equivalents	159	475	125
Cash and cash equivalents and restricted cash and cash equivalents, at beginning of period	1,825	1,350	1,225
Cash and cash equivalents and restricted cash and cash equivalents, at end of period	\$ 1,983	\$ 1,825	\$ 1,350

Financial Ratio Analysis

Activity Ratios			Liquidity Ratios		
	2024	2020		2024	2020
Inventory Turnover			Current Ratio		
Cost of Goods Sold:	\$ 17,851	\$ 8,692	Current Assets	\$ 50,358	\$ 35,067
Average Inventory:	\$ 10,520	\$ 7,557	Current Liabilities	\$ 42,995	\$ 25,920
Inventory Turnover:	1.70	1.15	Current Ratio:	1.17	1.35
Days of Inventory on-hand			Quick Ratio		
# Days in Period	365	365	Cash	\$ 1,043	\$ 1,784
Inventory Turnover	\$ 1.70	\$ 1.15	Short Term Marketable investments	\$ 19,434	\$ 10,437
Days of Inventory on-hand:	215.10	317.34	Receivables	\$ 11,463	\$ 7,930
Receivables Turnover			Current Liabilities	\$ 42,995	\$ 25,920
Revenue:	\$ 63,627	\$ 41,908	Quick Ratio:	0.743	0.777
Average Receivables:	\$ 11,515	\$ 7,351	Cash Ratio		
Receivables Turnover:	5.53	5.70	Cash	\$ 1,043	\$ 1,784
Days of sales outstanding			Short Term Marketable investments	\$ 19,434	\$ 10,437
# Days in Period	365	365	Current Liabilities	\$ 42,995	\$ 25,920
Receivables Turnover	5.53	5.70	Cash Ratio:	0.476	0.471
Days of sales outstanding:	66.05	64.02	Cash Conversion Cycle (Net Operating Cycle)		
Payables turnover			DOH	\$ 215	\$ 317
Purchases	\$ 17,851	\$ 8,692	DSO	\$ 66	\$ 64
Average Trade Payables	\$ 6,172	\$ 4,098	# Days Payable	126.19	172.09
Payables turnover	2.89	2.12	Cash Conversion Cycle:	\$ 154.97	\$ 209.28
Number of days of payables					
# Days in Period	365	365			
Payables turnover	\$ 2.89	\$ 2.12			
Number of days of payables:	126.19	172.09			
Working capital turnover					
Revenue	\$ 63,627	\$ 41,908			
Beginning Working Capital	\$ (4,461)	\$ (4,501)			
Ending Working Capital	\$ 7,363	\$ 9,147			
Average Working Capital	\$ 1,451	\$ 2,323			
Working capital turnover	43.85	18.04			
Fixed asset turnover					
Revenue	\$ 63,627	\$ 41,908			
Average Net Fixed Assets	\$ 18,667	\$ 13,435			
Fixed asset turnover	3.41	3.12			
Total Asset Turnover					
Revenue	\$ 63,627	\$ 41,908			
Average Total Assets	\$ 219,949	\$ 160,912			
Total Asset Turnover:	0.29	0.26			

Solvency Ratios			Coverage Ratios		
	2024	2020		2024	2020
Debt-to-assets ratio			Interest coverage ratio		
Total Debt	\$ 124,899	\$ 90,756	EBIT	\$ 8,023	\$ 7,497
Total Assets	\$ 213,396	\$ 154,229	Interest Payments	\$ 3,091	\$ 1,449
Debt-to-assets ratio	0.585	0.588	Interest coverage ratio	2.596	5.174
Debt-to-capital ratio			Fixed charge coverage ratio		
Total Debt	\$ 124,899	\$ 90,756	EBIT	\$ 8,023	\$ 7,497
Total Shareholders' Equity	\$ 88,203	\$ 63,238	Lease Payments	\$ 3,197	\$ 1,618
Debt-to-capital ratio	0.586	0.589	Interest Payments	\$ 3,091	\$ 1,449
Debt-to-equity ratio			Fixed charge coverage ratio	1.784	2.972
Total Debt	\$ 124,899	\$ 90,756			
Total Shareholders' Equity	\$ 88,203	\$ 63,238			
Debt-to-equity ratio	1.416	1.435			
Financial leverage ratio					
Average Total Assets	\$ 219,949	\$ 160,912			
Average Total Equity	\$ 88,893	\$ 63,460			
Financial leverage ratio	2.474	2.536			

Profitability Ratios			Return On Investment		
	2024	2020		2024	2020
Gross Profit Margin			Operating ROA		
Gross Profit	\$ 45,776	\$ 33,216	Operating Income	\$ 8,023	\$ 7,497
Revenue	\$ 63,627	\$ 41,908	Average Total Assets	\$ 219,949	\$ 160,912
Gross Profit Margin	0.719	0.793	Operating ROA	0.0365	0.0466
Operating profit margin			ROA		
Operating Income	\$ 8,023	\$ 7,497	Net Income	\$ 8,031	\$ 9,616
Revenue	\$ 63,627	\$ 41,908	Average Total Assets	\$ 219,949	\$ 160,912
Operating profit margin	0.126	0.179	ROA	0.0365	0.0598
Pretax margin			Return on Total Capital		
EBT	\$ 8,023	\$ 7,497	EBIT	\$ 8,023	\$ 7,497
Revenue	\$ 63,627	\$ 41,908	Short-term Debt	\$ 42,995	\$ 25,920
Pretax margin	0.126	0.179	Long-term Debt	\$ 57,405	\$ 37,133
Net profit margin			Equity	\$ 88,497	\$ 63,473
Net income	\$ 8,031	\$ 9,616	Return on Total Capital	\$ 0.0425	\$ 0.0593
Revenue	\$ 63,627	\$ 41,908	ROE		
Net profit margin	\$ 0.126	\$ 0.229	Net Income	\$ 8,031	\$ 9,616
			Average Total Equity	\$ 88,893	\$ 63,460
			ROE	9.03%	15.15%
			Return on common equity		
			Net Income	\$ 8,031	\$ 9,616
			Preferred Dividends	\$ -	\$ -
			Average Common Equity	\$ 88,893	\$ 63,460
			Return on common equity	\$ 0.0903	\$ 0.1515

Valuation Ratios			Per-Share Quantities		
	2024	2020		2024	2020
P/E			Basic EPS		
Price Per Share	\$ 27.36	\$ 37.37	Net income	\$ 8,031	\$ 9,616
Earnings per Share	\$ 1.41	\$ 1.71	Preferred Dividends	\$ -	\$ -
P/E	\$ 19.40	\$ 21.85	Weighted Average Number of Ordinary Shares Outstanding	\$ 5,664	\$ 5,555
P/CF			Basic EPS	\$ 1.42	\$ 1.73
Price Per Share	\$ 27.36	\$ 37.37	Diluted EPS		
Cash Flow per Share	\$ 2.26	\$ 2.54	Adjusted Income Available for Ordinary Shares, Reflecting Conversion of Dilutive Securities	\$ 8,031	\$ 6,985
P/CF	\$ 12.11	\$ 14.71	Weighted Average Number of Ordinary and Potential Ordinary Shares Outstanding	\$ 11,364	\$ 11,187
P/S			Diluted EPS	\$ 0.71	\$ 0.62
Price Per Share	\$ 27.36	\$ 37.37	Cash Flow per Share		
Outstanding Shares	\$ 5,667	\$ 5,567	Cash Flow from Operations	\$ 12,744	\$ 14,403
Sales per Share	\$ 11.23	\$ 7.53	Average Number of Ordinary Shares Outstanding	\$ 5,638	\$ 5,665
P/S	\$ 2.44	\$ 4.96	Cash Flow per Share	\$ 2.26	\$ 2.54
P/BV			EBITDA per share		
Price Per Share	\$ 27.36	\$ 37.37	EBITDA	\$ 15,036	\$ 12,274
Book Value per Share	\$ 15.62	\$ 11.40	Average Number of Shares Outstanding	\$ 5,638	\$ 5,665
P/BV	\$ 1.75	\$ 3.28	EBITDA per share	\$ 2.67	\$ 2.17
			Dividends per share		
			Common Dividends Declared	\$ 9,512	\$ 8,440
			Weighted Average Number of Ordinary Shares Outstanding	\$ 5,664	\$ 5,555
			Dividends per share	\$ 1.68	\$ 1.52

Dividend-Related Quantities		
	2024	2020
Dividend payout ratio		
Common Share Dividends	\$ 9,512	\$ 8,440
Net Income Attributable to Common Shares	\$ 8,031	\$ 9,616
Dividend payout ratio	\$ 1.18	\$ 0.88
Retention rate (b)		
Net Income Attributable to Common Shares	\$ 8,031	\$ 9,616
Common Share Dividends	\$ 9,512	\$ 8,440
Retention rate (b)	-0.18	0.12
Sustainable growth Rate		
b	\$ (0.18)	\$ 0.12
ROE	9.03%	15.15%
Sustainable growth Rate	-0.017	0.019

WACC Analysis (2020–2024)

	2020	2021	2022	2023	2024
Total Debt:	\$ 90,756	\$ 104,013	\$ 101,288	\$ 137,213	\$ 124,899
Total Equity:	\$ 63,473	\$ 77,462	\$ 95,916	\$ 89,288	\$ 88,497
Weight of Debt (Wd):	58.84%	57.32%	51.36%	60.58%	58.53%
Interest Expense:	\$ 1,449	\$ 1,291	\$ 1,238	\$ 2,209	\$ 3,091
Total Debt:	\$ 90,756	\$ 104,013	\$ 101,288	\$ 137,213	\$ 124,899
Cost of Debt (Kd):	1.60%	1.24%	1.22%	1.61%	2.47%
Tax rate (t):	5.30%	7.60%	9.60%	-105.40%	-0.40%
Net of tax (1-t):	94.70%	92.40%	90.40%	205.40%	100.40%
Weight of Preferred Stock (Wp):	0	0	0	0	0
Cost of Preferred Stock (Kp):	0	0	0	0	0
Weight of Equity (Ws):	41.16%	42.68%	48.64%	39.42%	41.47%
Risk-Free Rate (Rf):	1.15%	0.93%	1.87%	4.08%	4.31%
Beta:	0.6	0.6	0.6	0.6	0.6
Market Return (Rm):	10%	10%	10%	10%	10%
Cost of Equity (Ks):	6.46%	6.37%	6.75%	7.63%	7.72%
WACC:	3.55%	3.38%	3.85%	5.01%	4.66%

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